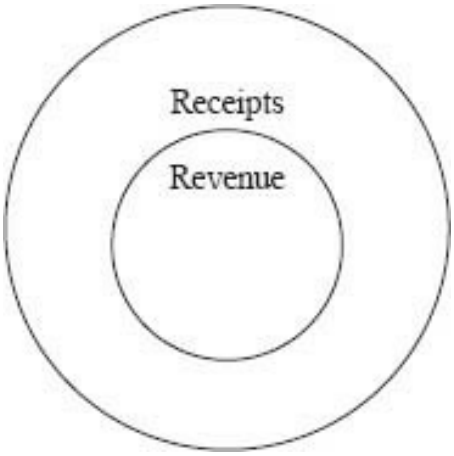
C. Contingency Fund of India

It is created by Article 267 of the Constitution to meet unforeseen expenditure. It is held at the disposal of the President of India. He/she can meet the expenditure and get the approval of the Parliament later.

Receipts

Before getting into the details of receipts it is necessary to see the difference between receipts and revenue. Revenue belongs to the receiver. It need not be repaid by the receiver. If we take an individual, the salary received by him is his revenue. Receipts include revenue apart from others. For example loan received is also included in receipts. The loan received needs to be repaid. The figure 5.2 explains this relationship.

Figure 5.2



As per Articles 112 and 202 of the Indian Constitution it is necessary to distinguish revenue expenditure from other expenditure. In addition to this classification Indian Budget classifies receipts also alike.